IN THE HIGH COURT OF JUDICATURE AT BOMBAY
CIVIL APPELLATE JURISDICTION

WRIT PETITION NO. 14016 OF 2026
WITH
INTERIM APPLICATION (ST.) NO. 30722 OF 2026

Super Creative Graphics Pvt. Ltd. ...*Petitioner*

: *Versus* :

The State of Maharashtra & Ors. ...*Respondents*

Mr. Deepan Dixit *for the Petitioner.*

Ms. Neeta Solanki *a/w. Mr. Rahul Prajapati i/b. Unison Legal, for Respondent No.4-society.*

Dr. Dhruti Kapadia, *AGP for State.*

CORAM: SANDEEP V. MARNE, J.
DATED: 19 OCTOBER 2026.

P.C.:

1) By this petition, Petitioner challenges order dated 22 July 2026 passed by the Joint Registrar, Co-operative Societies, Navi Mumbai dismissing Revision Application No. 57 of 2025 and confirming order dated 14 August 2025 passed by the Deputy Registrar dismissing Petitioner's application for grant of membership under the

provisions of Section 22(2) of the Maharashtra Co-operative Societies Act, 1960 (**MCS Act**).

2) I have heard Mr. Dixit, the learned counsel appearing for the Petitioner and Ms. Solanki, learned counsel appearing for Respondent No.4-Society and considered the submissions canvassed by them.

3) Petitioner claims to have purchased five flats situated in the building of Respondent No.4-society through the auction process conducted by the Liquidator of M/s. Ashapura Garments Limited in pursuance of various orders passed by National Company Law Tribunal, Ahemdabad Bench. It is Petitioner's contention that the liquidator had issued public notices before putting the flats for auction and if Respondent No.4-society had any maintenance claims *qua* the five flats, it ought to have registered its claim before the liquidator. In my view, it is the duty of the auction purchaser to approach the society and verify whether there are any past dues in respect of the flats put up for auction. Under the provisions of Section 154B-(7) of the MCS Act, membership in a society cannot be granted unless all dues of the housing society are paid. Section 154B-7 of the MCS Act reads thus :

> **154B-7. Restriction of transfer of share or interest of a Member**
> Subject to the provisions of this Act, in case of a housing society, no transfer of share or interest of a Member or the occupancy right, except the transfer of his heir or a nominee, shall be effective unless, –
>
> **(a)** the dues of housing society are paid;
>
> **(b)** the transferee applies and acquires Membership of the co-operative housing society in due course of time:
>
> **Provided that**, the transfer of share or interest in respect of lease hold properties shall be governed by the terms of the lease, which are not

inconsistent with lease of land to the co-operative housing society or with lease by housing society to its Members.

Explanation. — For the purpose of this section, occupancy right shall not include right of a tenant or a licensee on leave and license basis.

4) In my view, it would be too onerous to expect co-operative housing society to keep a tap on notices published in newspapers qua its members in liquidation for the purpose of recovery of maintenance dutes by registration of its claim with the Liquidator. On the other hand, when the auction purchaser decides to purchase a flat through auction process, which is a part of co-operative housing society, the flat purchaser need to perform due diligence and approach the society for verifying the maintenance dues. In the present case, Petitioner cannot be granted exemption in respect of the maintenance dues of the five flats purchased by it. If Petitioner desires membership of Respondent No.4-society, it will have to clear the entire past maintenance dues.

5) Mr. Dixit submits that Respondent No.3-society has initiated proceedings against the past member for recovery of the maintenance dues. He submits that the Petitioner, per-se does not have objection to the society recovering maintenance dues, but so long as the same are not recovered by auctioning the flats purchased by the Petitioner. I am unable to agree. As of now, the issue involved before the Deputy Registrar and the Joint Registrar was about Petitioner's right to secure membership in the society. As per the provisions of Section 154B-7 of the MCS Act, membership cannot be granted to the Petitioner without clearing the past maintenance dues in respect of the flat. Therefore, filing of proceedings by Respondent No.4-society cannot be a reason for the Petitioner to claim membership of the society. Mere filing of proceedings by Respondent No.4-society for recovery of

dues from ex-member would not automatically entitle the Petitioner to claim membership in respect of the flats purchased by it. Since Petitioner is not admitted as member of the society and since name of ex-member may still continues in its 'I' and 'J' Registers, the society is left with no alternative but to file recovery proceedings in the name of its member. However the society can enforce such Recovery Certificate against the flats which are now owned by the Petitioner. In the present case apparently Recovery Certificates have been issued and the society would be entitled to enforce the same against the flats in question. If Petitioner wants membership in respect of the purchased flats and wants to save them from being auctioned, it will have to clear the dues of the society.

6) If Petitioner's contention of impermissibility to recover maintenance dues from it is accepted, the society would be deprived of the maintenance dues in respect of 5 flats. Maintenance dues are collected by the society for the purpose of collective management of the building. If any member fails to pay the maintenance dues, the burden falls on the other members. In the present case, if maintenance dues in respect of the five flats are not paid by the Petitioner, the society will not be able to recover the same from ex-member who is already liquidated. This would result in a situation where other residents of the building will have to bear the dues payable in respect of the flats. On the other hand, if the Petitioner is made liable to pay maintenance dues as a pre-condition for grant of membership to the society, it would result in a situation where maintenance dues in respect of the building would be shared by all the residents. Petitioner has purchased the flats in question with its eyes wide open about past maintenance dues of Ex-

member. It cannot seek to escape the liability by taking shelter of purchase of flats in liquidation proceedings.

7) At this stage, Mr. Dixit, submits that Petitioner may be granted time of 4 weeks for the purpose of clearing past dues in respect of the flats purchased by it. He further submits that some relaxation be granted in respect of the interest charged by the society since heavy interest and penalty has been charged by the society. He submits that Petitioner is not responsible for non-payment of maintenance dues within the stipulated time. Considering these unique facts, in my view, ends of justice would meet if the society levies simple interest @ 10% p.a. on the maintenance dues in respect of the five flats purchased by the Petitioner-society. Petitioner shall pay maintenance dues alongwith simple interest @ 10% p.a. to Respondent No.4-society within a period of 6 weeks. In order to enable the Petitioner to make payment of maintenance dues with interest, no coercive steps shall be taken for enforcement of Recovery Certificates against the five flats purchased by the Petitioner for a period of 6 weeks. Statement made about clearance of maintenance dues alongwith simple interest @ 10% p.a. is accepted as an undertaking given to the Court.

8) In view of the above discussion, the Writ Petition is **disposed of.** The Interim Application also stands disposed of.

[SANDEEP V. MARNE , J.]

NEETA SHAILESH SAWANT
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